

YEAR	KEY INVESTORS	AMOUNT (\$ MILLION)
2014	• SoftBank • Temasek • Myriad Asset Management • Blackrock • PremjiInvest • Tybourne Capital Management • Ebay • Nexus Venture Partners • Bessemer Venture Partners • Kalaari Capital • Intel Capital • InnoVen Capital	965
2013	• Ebay • Nexus Venture Partners • Intel Capital • Kalaari Capital • RTP Global	32.6
2012	• Innoven Capital	1.5
2011	• Bessemer Venture Partners • Kalaari Capital • Nexus Venture Partners	42.8
2009	• Kalaari Capital • Ken Glass • Laurent Amouyal	2.3
2007	• Ken Glass	0.198

SOURCE FILINGS, BT RESEARCH

retail chains such as the Landmark Group-owned Max Fashion or Tata's Zudio make up about 17 per cent; and the remaining 8 per cent belongs to e-commerce. A report by consultancy Redseer says the value lifestyle retail market was valued at \$88 billion in FY21 and is projected to grow to \$175 billion by 2026.

"Over the next four to five years, this 8 per cent will go to 24 per cent. If we're to make a broad assumption that 150-200 million—who are relatively better off and digitally native—out of the 700-800 million who have access to data or have smartphones are shopping online today, the next 200 million will essentially come from the value segment," Chakrawarti says.

He says the firm will invest the cash flow back into the business



"It is very difficult to win in [the Tier II and beyond] segment. It is not easy to just overtake the market overnight"

AMIT NAWKA
PARTNER, DEALS, PWC

and, when required, fund them through external means, which could be an IPO or a fundraise.

However, finding new investments won't be easy. Snapdeal's last substantial funding round was way back in 2016. "Every investment has two key risks: market risk and execution risk. The market is there; everyone knows it. But are these guys (the founders) the right execution people? The founders come with a lot of baggage. Many early investors in India have a history with them. They are anyway personally well off, running a pretty successful VC firm. Will investors find them to be driven enough to drive the company to success?" asks a fund manager at a global venture capital firm.

Another venture capital investor says the absence of benchmarking for its valuation and intensifying competition could impede its prospects of securing substantial external funding.

Do the rising competition and need for substantial investments pose a danger to Snapdeal's market standing? Is this a resounding call to arms for Snapdeal to cement its position, knowing there might not be another shot at it? Chakrawarti is unwavering in his confidence.

"When you have cash burn-led growth, how many chances you get depends on the market environment and on the promoters and investors. What we have is a self-sufficient model. We are here to create a very good value lifestyle online destination for customers and a great business. When you look through that lens, it is not about one last chance that you need to grab. In many ways, it's more to do with [building] long-term sustainable businesses than with buying growth," he adds.

There's a lot banking on that confidence. **BT**

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